

CONTOSO

Legal - Cross-Border Trading Office | EMEA

CROSS-BORDER TRADING LEGAL INSTRUCTION

Jurisdiction: Swiss Confederation (CH)

Document Control

Document Reference	CBTI-CH-2026-008
Jurisdiction	Swiss Confederation (CH)
Version / Status	2.3 / Approved
Effective Date	2026-08-16
Next Review Date	2027-08-15
Supersedes	CBTI-CH-2024-004 (v2.2)
Document Owner	Legal - Cross-Border Trading Office, EMEA
Classification	Internal - Restricted

1. Jurisdiction Overview

Regulator / Body	Role
FINMA - Swiss Financial Market Supervisory Authority	Licensing and market conduct
Registration bodies (FinSA Art. 31)	Client adviser registers
Recognised ombudsman (FinSA Art. 74)	Mandatory affiliation for client-facing services

Key legislation: FinSA / FIDLEG (Financial Services Act); FinIA (Financial Institutions Act); CISA (Collective Investment Schemes Act); FMIA / FinfraG (Market Infrastructure Act); Swiss Banking Act

2. Contoso Entities and Legal Basis

Entity	Legal Basis	Scope
Contoso Bank (Suisse) SA, Geneva	Locally licensed Swiss bank (FINMA)	Domestic Swiss business - out of scope of this Instruction; see CH domestic manual
Contoso Bank PLC, London	Foreign financial service provider under FinSA - no Swiss licence; relies on FinSA exemptions and client adviser registration regime	Cross-border services strictly per the permission matrix in Section 4

3. Client Categorisation

Client segmentation follows FinSA Art. 4: institutional clients, professional clients and retail (private) clients. Note the categories do NOT map one-to-one to MiFID II; opting out / opting in per FinSA Art. 5 must be documented. The matrix applies to cross-border activity by Contoso Bank PLC, London into Switzerland.

4. Product and Service Permission Matrix

Product / Service	Institutional	Professional	Retail (private)
Cash equities - execution & dealing	P	P ¹	RS
Government bonds - execution & dealing	P	P ¹	RS
Corporate bonds & credit - execution & dealing	P	P ¹	RS
OTC derivatives - cleared	P ²	P ²	NP
OTC derivatives - uncleared	P ²	PR ²	NP
FX - spot & forwards	P	P	RS
Structured products & notes - distribution	P ³	PR ³	NP
Fund units (UCITS / AIF) - distribution	P ⁴	PR ⁴	NP
Investment advice - cross-border	PR ⁵	PR ⁵	NP
ECM / DCM origination services	P	P ¹	N/A

P = Permitted | PR = Permitted with restrictions | RS = Reverse solicitation / passive only | NP = Not permitted | N/A = Not applicable. Superscript numbers reference the conditions in Section 7.

5. Marketing and Solicitation Rules

- In-country travel is permitted for institutional and professional prospects; advisers must satisfy condition (1) before any client-facing activity.
- All financial promotions must state the ombudsman affiliation and carry approved disclaimer LEG-CH-DISC-02.
- No public advertising of financial instruments to retail (private) clients; materials must state their professional / institutional-only scope.
- Third-party introducers require a written finder agreement approved by Legal & Compliance.

6. Documentation Requirements

- Institutional / Professional: Terms of Business (Institutional, CBPLC London version); FinSA client segmentation notice; risk disclosure brochure ('Risks Involved in Trading Financial Instruments'); ISDA / Swiss Master documentation where applicable.
- Opting-out clients (FinSA Art. 5): signed opting-out declaration retained on file before first trade.
- Retail (private): not applicable - no retail business permitted under this Instruction.

7. Conditions and Footnotes

- (1) Client advisers servicing Swiss professional clients must be entered in a Swiss client adviser register unless exempt under FinSA Art. 28 as employees of a prudentially supervised foreign institution serving professional / institutional clients only.
- (2) FMIA obligations apply: reporting to a Swiss trade repository and, where applicable, clearing; ISDA or Swiss Master Agreement required.
- (3) Structured products may be offered to professional clients under FinSA Art. 36 prospectus exemptions; retail distribution would require a FinSA prospectus and KID and is not approved.
- (4) Collective investment schemes restricted to qualified investors under CISA Art. 10; a Swiss representative and paying agent are required for distribution to non-institutional qualified investors.
- (5) Cross-border advice only on a documented reverse-enquiry basis or where condition (1) is satisfied; affiliation with a recognised Swiss ombudsman (FinSA Art. 74) has been confirmed for Contoso Bank PLC.

8. Tax Considerations

Swiss withholding tax of 35% applies to Swiss-source dividends and certain interest; relief via reclaim under the applicable double tax treaty (see Group Tax country card TAX-CH-06). Swiss transfer stamp tax (Umsatzabgabe) of up to 0.15% (domestic) / 0.30% (foreign securities) may apply where a Swiss securities dealer is a party or intermediary to the transaction.

9. Governance and Version History

Version	Date	Owner	Summary of Changes
1.0	2019-06-14	Cross-Border Office	Initial issue.
2.0	2022-01-31	Cross-Border Office	FinSA transition complete: adviser registration and ombudsman affiliation reflected.
2.3	2026-08-16	Cross-Border Office	Annual review; stamp tax note updated.

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